

GOVERNANCE MATTERS

Although listed firms have become more responsible in implementing corporate governance norms amid tighter regulatory scrutiny and rising shareholder activism, they often score low on parameters like succession planning and compensation of top management

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“THE PRICE OF greatness is responsibility.” Legendary British Prime Minister Winston Churchill said these words at Harvard University in 1943. While Churchill wasn’t speaking about the operation and management of companies, his words do hold as sage advice in terms of corporate governance.

They are even more relevant in the Indian context, given that several firms have plans in terms of listing and going global but are often reluctant to implement corporate governance practices such as disclosures

and transparency, board composition and succession planning.

Even companies on this year’s BT500 list have seen their share of problems—be it related to corporate governance (such as at PTC Financial Services, Zee or Adani Enterprises), or issues of cash burn and post-IPO value loss in the start-up sector (such as at Zomato and Paytm). Many reports have highlighted some of these issues. For instance, a recent report by FTI Consulting found that firms on the Nifty 100 Index have an average corporate disclosure score of 6.5 out of 10. Its India Disclosure Index 2023 reveals that nine of these Top 100 Indian firms are classified as corporate disclosure champions, with scores of 9 or above, with Infosys scoring a perfect 10. However, 76 per cent of them do not have independent board evaluation by a third party, while 48 per cent do not have an independent mechanism and metric to track anonymous whistle-blowing.



“There is no one silver bullet and new areas of change are evolving, such as disclosures for ESG... Another issue that companies still require more work on is compensation”

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